

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-08

**TZ SSE Buyer, LLC, Complainants v. Overseas Container Line Limited
and OOCL (Europe) Limited, Respondents**

**JOINT MOTION FOR APPROVAL AND CONFIDENTIAL TREATMENT
OF SETTLEMENT AGREEMENT AND RELEASE**

Complainant TZ SSE Buyer, LLC, (“Complainant”) and Respondents, Overseas Container Line Limited and OOCL (Europe) Limited (“Respondents”) (referred to jointly as the “Parties”) submit this joint motion in support of the confidential Settlement Agreement, Release, and Indemnity filed under seal concurrently herewith. The Parties believe that the confidential Settlement Agreement, Release and Indemnity meets the criteria set by the Federal Maritime Commission (“FMC” or “Commission”) for the approval of settlement agreements and therefore should be approved.

I. INTRODUCTION

This proceeding commenced when Impact Products, LLC and Safety Zone, LLC (together, “Complainant’s Predecessors”) filed a verified complaint on February 14, 2024, alleging that Respondents violated 46 U.S.C. §§ 41102(c) and 41104(a)(10) of the Shipping Act of 1984. Complainant’s Predecessors sought \$439,795.00 in reparations for injuries allegedly caused by Respondents’ conduct. Respondents filed a verified answer denying the claims presented. Complainant’s Predecessors filed an amended verified complaint on May 17, 2024, to which Respondents filed a verified answer denying the claims presented.

On July 10, 2024, Complainant’s Predecessors sold all of their assets, including this cause

of action, to Complainant TZ SSE Buyer, LLC. Complainant filed a second amended verified complaint on October 11, 2024 (“Complaint”), which is the live pleading. Respondents deny Complainant’s claims set forth in the Complaint and filed a verified answer addressing the same.

The Parties have engaged in settlement discussions and have reached an agreement, which is embodied in the confidential Settlement Agreement, Release, and Indemnity (the “Agreement”) filed in connection with this Joint Motion for Approval and Confidential Treatment.

II. THE CONFIDENTIAL SETTLEMENT AGREEMENT SHOULD BE APPROVED

“The Commission has a strong and consistent policy of ‘encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid.’ ” *Aeneas Exporting LLC v. Carlo Shipping Intl, Inc.*, Docket No. 20-11, 2020 WL 5942148, at *2 (FMC Sept. 29, 2020) (quoting *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002)). “[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.” *Delhi Petroleum Pty. Ltd. v. US. Atl. & Gulf/Australia - New Zealand Conf. and Columbus Line, Inc.*, Docket Nos. 88-2, 88-4, 1988 WL 340657 at *7, 24 S.R.R. 1129, 1134 (Aug. 12, 1988)). “Reaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.” *Mac Indus., Inc. d/b/a Mac Container Line v. COSCO Shipping Lines Co., Ltd.*, Docket No. 20-09, 2020 WL 4464298, at *2 (FMC July 29, 2020) (quoting *APM Terminals North America, Inc. v. Port Authority of New York and New Jersey*, 31 S.R.R. 623, 626 (FMC 2009)).

The Commission’s policies, its Rules of Practice, and the Administrative Procedures Act

all encourage settlements. As the ALJ recognized in *Old Ben Coal Co. v. Sea-Land Services, Inc.*, 21 FMC 505, 512, 18 S.R.R. 1085, 1091 (ALJ 1978), quoting 15A Am Jur. 2d. 777-778:

The desire to uphold compromises and settlements is based upon various advantages which they have over litigation. The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the Parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

Evaluating this motion to approve the confidential Settlement Agreement entails examining whether it “reflects careful consideration by the parties of a variety of factors, including the relative strengths of their positions weighed against the risks and costs of continued litigation.” *APM Terminals N Am., Inc.*, 31 S.R.R. at 636 (quoting *Delhi Petroleum Pty. Ltd.*, *supra*, 1988 WL 340657 at *7, 24 S.R.R. 1129, 1134 (Aug. 12, 1988)). The Commission reviews settlement agreements to ensure that they do not contravene any law or public policy, and are free of fraud, duress, undue influence, or mistake, or other defects which might make them not subject to approval. The primary factor to be considered, however, is the FMC's “strong and consistent policy of encouraging settlements” *APM Terminals, supra*, 31 S.R.R. at 625 (quoting *Inlet Fish Producers, Inc.*, 29 S.R.R. at 978).

In this action, the Parties, both sophisticated corporate entities, with the advice and assistance of their respective counsel, arrived at the Agreement through arm's length negotiations and support this motion and the relief that it seeks. The Agreement does not contravene any law or public policy and is neither unjust nor discriminatory. It does not contemplate any adverse effects on any third parties or the shipping public. Instead, the Agreement is a fair and reasonable resolution of the disputes between the Parties and reflects their desire to resolve their issues without the need for costly and uncertain litigation.

For these reasons, the Parties respectfully request that the Agreement be approved. Upon

Complainant's receipt of the settlement proceeds, the Complaint will be dismissed with prejudice. At that time, Complainant will file a Notice of Motion for Dismissal of this Action with Prejudice.

III. REQUEST FOR CONFIDENTIAL TREATMENT AND LEAVE TO FILE UNDER SEAL

The FMC routinely affords confidential treatment to settlement agreements under 46 C.F.R. § 502.5, recognizing that they “often contain sensitive commercial information that should be protected from public disclosure.” *D.F. Young, Inc. v. NYK Line (North America) Inc.*, Docket No. 16-02, 2018 WL 2411779, at *2, 1 F.M.C.2d 135, 136-37 (FMC May 22, 2018). “If parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests.” *Marine Transp. Logistics, Inc. v. CMA-CGM (America) LLC*, Docket No. 18-07, 2020 WL 948582, at *3 (FMC Feb. 18, 2020) (quoting *Al Kogan v. World Express Shipping, Transp. and Forwarding Servs., Inc.*, Docket No. 00-04, 29 S.R.R. 68, 70 n.7 (ALJ Dec. 14, 2000)).

Under the terms of the Agreement, the Parties must keep the terms of the Agreement confidential. This confidentiality requirement is a material term of the Agreement. This Agreement is the result of confidential commercial negotiations between the parties, and the parties therefore respectfully request leave to file the Agreement under seal for review and approval, and that the Agreement thereafter continue to be afforded confidential treatment by the FMC.

Additionally, because the entire Agreement is confidential, the Parties have not filed a “public version.” Commission precedent provides that settling parties need not file a public version of a settlement in such circumstances. *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, No. 13-07, 2015 WL 1928868, at *6 (FMC Apr. 14, 2015). Where, as here, the Parties “want to maintain confidentiality of the Confidential Settlement Agreement as it contains terms setting out the settlement amount, as well as terms governing the release of all claims related to the controversy

involved” and there is no “public interest in disclosure of the settlement amount or the terms of the release of the involved claims, that outweighs the [p]arties’ interest in maintaining the confidentiality of these terms,” the agreement should be held confidentially. *Id.* at *7.

IV. CONCLUSION

The Agreement comprehensively addresses the issues relating to the above-referenced proceeding and meets the Commission’s well-established criteria for approval of agreements settling administrative litigation. Accordingly, for the reasons set forth herein, the Parties respectfully request approval of their Settlement Agreement. The Parties also respectfully request that the Presiding officer designate the Settlement Agreement as confidential and keep it under seal. Upon Complainant’s receipt of the settlement proceeds, the Verified Second Amended Complaint in this proceeding will be dismissed with prejudice. At that time, Complainant will file a Notice of Motion for Dismissal of this Action with Prejudice.

Dated: March 11, 2025

Respectfully and jointly submitted,

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